Self–examination questions



I Multiple choice questions

Choose the correct answer

1. Amount spent on increasing the seating capacity in a cinema hall is

(a) Capital expenditure (b) Revenue expenditure
(c) Deferred revenue expenditure (d) None of the above.

2. Expenditure incurred ₹ 20,000 for trial run of a newly installed machinery will be

(a) Preliminary expense (b) Revenue expenditure
(c) Capital expenditure (d) Deferred revenue expenditure

3. Interest on bank deposits is

(a) Capital receipt (b) Revenue receipt
(c) Capital expenditures (d) Revenue expenditures

4. Amount received from IDBI as a medium term loan for augmenting working capital

(a) Capital expenditures (b) Revenue expenditures
(c) Revenue receipts (d) Capital receipt

5. Revenue expenditure is intended to benefit

(a) Past period (b) Future period
(c) Current period (d) Any period

6. Pre-operative expenses are

(a) Revenue expenditure (b) Prepaid revenue expenditure
(c) Deferred revenue expenditure (d) Capital expenditure

Answer

1 (a)	2 (c)	3 (b)	4 (d)	5 (c)	6 (d)

II Very short answer questions

1. What is meant by revenue expenditure?
2. What is capital expenditure?
3. What is capital profit?
4. Write a short note on revenue receipt.
5. What is meant by deferred revenue expenditure?

III Short answer questions

1. Distinguish between capital expenditure and revenue expenditure.
2. Distinguish between capital receipt and revenue receipt.
3. What is deferred revenue expenditure? Give two examples.

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